

Cymbal Capital Partners: Series A Deal

Memo

Project Name:	Project Alpha (ZenithAI)	Date:	October 24, 2023
Deal Lead:	Sarah Chen, Principal	Investment Size:	\$15,000,000
Security Type:	Series A Preferred Stock	Pre-Money Val:	\$60,000,000

1. Executive Overview

ZenithAI represents a high-conviction opportunity to back the definitive "Operating System" for autonomous supply chain logistics. While legacy players focus on visibility (tracking), ZenithAI focuses on **Action**. Their platform uses specialized multi-agent LLMs to handle 85% of non-standard vendor communication, discrepancy resolution, and re-routing logic that currently consumes 40% of a logistics manager's workday.

2. Detailed Investment Thesis

2.1 The Crisis of Complexity

Post-2022, supply chains have transitioned from "Just-in-Time" to "Just-in-Case." This has increased the number of suppliers by 3x for mid-market firms, creating a communication bottleneck that human teams cannot scale. ZenithAI resolves this by providing an "Autonomous Agent" for every procurement seat.

2.2 Competitive Moat: The Feedback Loop

ZenithAI's models are trained on the "Shadow Data" of logistics—not just invoices, but the millions of Slack messages and emails where actual negotiations happen. They have secured exclusive data-sharing agreements with three major global freight forwarders, creating a barrier that general-purpose AI cannot easily breach.

3. Market Analysis & Unit Economics

The TAM for Supply Chain Orchestration is \$45B. ZenithAI's initial beachhead is the \$8B "Mid-Market Manufacturing" sector. Their unit economics are elite for an early-stage firm:

- **LTV/CAC:** 4.8x (Estimated)
- **Payback Period:** 7 Months

- **Gross Margin:** 78% (Projected to hit 82% at scale)

4. Financial Projections & Milestones

ZenithAI is on track to hit \$12M ARR by EOY 2024. The proceeds of this round will be used to:

1. Scale the Sales & Customer Success team (40%).
2. Expand the R&D team for "Predictive Disruption" features (35%).
3. International expansion into the EMEA market (25%).

5. Risk Assessment & Mitigation

Risk Category	Description	Mitigation Strategy
Model Accuracy	Hallucinations in legal/contractual vendor terms.	"Golden Path" verification: Any financial commitment over \$10k requires one-click human approval.
Platform Dependency	Changes in pricing/API access from foundation model providers.	Zenith is "Model Agnostic," currently running redundant pipelines on Gemini, GPT-4, and Llama-3.
Incumbent Defense	SAP or Oracle releasing a similar AI layer.	Zenith's "Connect-First" strategy embeds them into legacy ERPs as a feature, not a replacement.